

CORPORATE POLICY REVIEW REPORT

Corporate Governance & Ethics Policy

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Activity Title: Corporate Policy Review Report

Policy Name: Corporate Governance & Ethics Policy

1. Introduction

Tata Consultancy Services (TCS) is a global IT services and consulting company and one of the flagship companies of the Tata Group. As a publicly listed company with operations in over 55 countries, TCS is answerable to shareholders, regulators, employees, and clients, which makes strong corporate governance essential to its business.

The policy chosen for this review is TCS's Corporate Governance and Ethics framework, built around the Tata Code of Conduct and supported by the TCS Global Whistle Blower Policy. Together, these define how the Board of Directors oversees the company and how employees and stakeholders can safely report unethical behaviour.

The purpose of this review is to understand how TCS structures its governance and ethics systems, how the Board and Audit Committee oversee compliance, and how effective these mechanisms are, including how the company responded to a real ethics breach.

2. Policy Overview

TCS's Corporate Governance and Ethics Policy is not one single document but a framework built on the Tata Code of Conduct, the Whistle Blower Policy, and Board-level governance guidelines required under the Companies Act, 2013 and SEBI Listing Regulations. Together, these define how the company is directed, controlled, and held accountable.

Scope of the Policy

The framework applies to the Board of Directors, all employees, consultants, associates, interns, and trainees of TCS and its subsidiaries, regardless of location. It also extends, through contractual clauses, to stakeholders who have financial or commercial dealings with the company.

Stakeholders Covered

- The Board of Directors and Audit Committee
- All employees, including senior executives and the CEO
- Shareholders and investors
- Vendors, suppliers, and business partners
- Clients and the wider community

Key Objectives of the Policy

- To ensure the Board oversees the company with transparency and accountability
- To promote honesty, integrity, and ethical decision-making at every level
- To protect shareholder interests and support fair treatment of all stakeholders
- To provide safe channels for reporting unethical or illegal conduct
- To prevent conflicts of interest and related-party misconduct

3. Key Provisions of the Policy

TCS's governance and ethics framework rests on a few key pillars that work together to guide the company's conduct.

Board Responsibilities

The Board of Directors is responsible for overseeing the company's strategy, risk management, and compliance. The Audit Committee, a Board-level body required under the Companies Act, plays a central role in reviewing financial reporting and handling serious ethics complaints.

The Tata Code of Conduct

The Code sets out the ethical standards expected of every employee and director, covering honesty, fairness, avoidance of conflicts of interest, and respect for laws in every country of operation. Customers are also made aware of these principles through clauses included in business contracts.

Whistle Blower Mechanism

The TCS Global Whistle Blower Policy allows employees, directors, and stakeholders to report violations of the Code without fear of retaliation. Concerns can be raised through the company's internal portal, and serious matters involving senior executives can be reported directly to the Chairman of the Audit Committee.

Transparency and Accountability

TCS is required to disclose governance-related information to stock exchanges and shareholders, including matters involving ethics violations. This keeps the company answerable not just internally, but to external regulators and the investing public as well.

Related-Party Transactions and Conflicts of Interest

- Employees and directors must disclose situations where personal interest could conflict with company interest
- Related-party transactions must follow approval processes set by the Audit Committee and SEBI regulations
- Gifts, favours, or benefits that could influence business decisions are restricted

Training and Awareness

Employees undergo mandatory annual training on anti-bribery and ethical behaviour. This ensures that governance and ethics are not just Board-level concepts, but are understood and practiced by staff at every level of the organisation.

4. Compliance and Governance Analysis

TCS's governance framework is built to comply with the Companies Act, 2013, SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and international laws such as the U.S. Foreign Corrupt Practices Act and the UK Bribery Act 2010, given the company's global client base.

Governance Mechanisms

- The Audit Committee, constituted under the Companies Act and SEBI regulations, oversees financial integrity and serious ethics complaints
- A corporate compliance office monitors adherence to local and international laws across countries of operation
- Local Ethics Counselors and Trusted Persons in different regions handle whistle-blower concerns confidentially
- Formal disclosures are made to stock exchanges when major governance or ethics issues arise

- The Board periodically reviews governance guidelines to keep them updated with regulatory changes

This layered structure, combining Board oversight, an independent Audit Committee, regional ethics counselors, and mandatory disclosures, shows that TCS's governance system is designed to catch problems early and respond to them through a clear chain of accountability.

5. Policy Evaluation

Strengths

- Clear reporting line from employees to the Chairman of the Audit Committee for serious concerns
- Global consistency, since the same Code and Whistle Blower Policy apply across all countries of operation
- Mandatory annual training keeps ethics awareness active rather than a one-time formality
- Public disclosure of governance issues to stock exchanges supports transparency

Effectiveness and Practicality

The framework's real test came with the 2023 bribe-for-jobs scandal, where an internal inquiry found employees involved in a cash-for-jobs scheme. TCS's response, dismissing the employees involved and disclosing the matter to stock exchanges, showed that its governance and whistle-blower mechanisms could detect and act on serious misconduct.

Gaps and Limitations

- The scandal itself showed that internal controls did not fully prevent unethical behaviour before it caused reputational harm
- Commentators noted the incident exposed gaps in TCS's governance and ethics framework that needed urgent attention
- Employees may still hesitate to report senior colleagues despite confidentiality assurances

Comparison with Good Corporate Practice

Compared to good corporate practice, TCS's willingness to investigate, take disciplinary action, and disclose the matter publicly is a positive sign of strong governance culture. Many companies avoid public disclosure of internal ethics failures, so TCS's transparency in this case compares favourably with common industry behaviour.

6. Business Relevance

Corporate governance and ethics are central to how modern businesses operate, especially for a large, publicly listed company like TCS that depends on the trust of global clients, investors, and employees. Weak governance can lead to scandals that damage a company's reputation and share value almost overnight.

Impact on Stakeholders

- Employees benefit from clear ethical standards and safe reporting channels
- Clients gain confidence that TCS operates with integrity in its contracts and dealings
- Shareholders benefit from reduced risk of fraud, penalties, and reputational loss
- Regulators and the wider public see TCS as accountable and transparent

Contribution to Risk Management and Governance

A strong governance and ethics framework reduces the risk of fraud, corruption, and regulatory penalties. It also builds long-term resilience, since a company that can detect and respond to misconduct, as TCS did in 2023, is better placed to maintain stakeholder trust than one that hides or ignores such issues.

7. Recommendations

- Strengthen preventive controls in high-risk areas such as recruitment and vendor selection, where the 2023 scandal originated
- Conduct more frequent, independent audits of business units that manage large vendor or staffing relationships
- Offer stronger, visible protection for whistle-blowers who report against senior employees
- Use data analytics to spot unusual patterns in hiring, vendor payments, or approvals that may signal misconduct
- Continue transparent public disclosure of governance issues, as this builds long-term trust despite short-term reputational cost

8. Conclusion

TCS's Corporate Governance and Ethics framework, built on the Tata Code of Conduct, Board oversight, and a global Whistle Blower Policy, provides a strong structure for accountability and ethical conduct. It is supported by clear reporting channels, mandatory training, and public disclosure requirements.

From this review, it is clear that even a well-designed governance framework can face real test cases, as shown by the 2023 bribery scandal. What matters most is how a company responds when problems are found, and TCS's swift disciplinary action and transparent disclosure reflect a governance culture that takes ethics seriously rather than merely on paper.

Overall, this review highlights that strong corporate governance and ethics policies are essential for protecting stakeholder interests, managing risk, and maintaining long-term trust in any large, publicly listed organisation.

9. References

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